Mergers and Acquisitions

- A merger is a friendly reorganisation of assets of firms into a new organisation, i.e. A and B merge to become C, a new company, with the agreement of both sets of shareholders.
- Mergers involve similar sized companies, reducing the likelihood of one company dominating the other.

Reasons/motives for mergers

1. **Value creation: Increase in shareholder wealth through synergy either from revenue generation or cost reduction perspective.**
2. **Diversification: entry into new markets or offering new products or services.**
3. **Acquisition of assets that cannot be acquired using other means.**
4. **Increase in financial capacity i.e. ability to raise more funds.**
5. **Tax purposes: where one firm has losses carried forward.**

Acquisitions or Takeovers

- An acquisition occurs when one company acquires or takes control of another existing company.
- The acquirer takes over the ordinary shares of another company.
- After acquisition that target company ceases to exist.
- In most cases, the acquirer is larger than the target company.

Forms of takeovers (acquisitions)

- ***Horizontal takeover*: the combination of two companies operating in the same industry and at a similar stage of production.**
- ***Vertical takeover*: the combination of two companies operating at different stages of production within the same industry.**
  - **E.g. a move forward in the production process to secure a distribution outlet, or**
  - **a move backward in the production process to secure the supply of raw materials.**
- ***Conglomerate takeover*: the combination of two companies operating in different areas of business.**

Reasons for acquisitions.

- **Generally, acquisitions can be for *economic reasons* , *financial motive* , or *managerial reasons*.**
- **An acquisition can be financially justified only if it increases the wealth of the acquiring company shareholders.**
- **Similarly, a merger can be financially justified only if the wealth of the shareholders of both companies increases.**

Economic reasons for acquisitions (1).

1. ***Synergy*** **: combined output of two firms is more than the sum of their separate outputs once merged.**

   Synergy is highly influenced by post-merger integration

2. ***Economies of scale:*** **occur because the scale of operations is larger after a takeover.**

3. ***Elimination of inefficient management:*** **if the fall in share price is associated with poor management.**

   - **Can be easier for shareholders than voting managers out.**

Economic reasons for acquisitions (2).

4. ***Entry into new markets*** **: expansion into new geographical areas is easier through acquisitions. This is cheaper and quicker than organic or internal growth.**
5. ***As a means of providing growth*** **particularly at maturity stage.**
6. ***Market power and shares:*** **Increase in market share and ability to beat competition.**

Financial reasons for acquisitions (1).

1. ***Financial synergy:*** **occur if a company's cost of capital decreases as a direct result of an acquisition:**
2. ***Target undervaluation:*** **where the shares of the target firm is undervalued by the market (suggesting market inefficiency).**
3. ***Tax consideration i.e.*** **in cases where an acquisition will bring forward tax-allowable benefits.**
4. ***Increasing the post-acquisition earnings per share.***

- **The process whereby companies seek to increase their EPS through acquisitions is known as *boot-strapping*.**

Practice question.

	Super plc	Shake plc
Number of shares	200m	25m
Earnings	$20m	$5m
Earnings per share	10c	20c
Price/earnings ratio	25	5
Share price	$2.50	$1.00
Market value	$500m	$25m

Required:

a) Determine the post-acquisition EPS if Super pays $25m to buy Shake assuming that 10m $2.5 shares in Super are issued to raise funds.

b) Calculate the post-acquisition share price and company value based on the PE ratio of Super.

c) Revise the working in (b) above if synergetic earnings post acquisition are $3.35m.

Solution to practice question (a).

	Post -acquisition
Total number of shares (200m + 10m)	210m
Total earnings ($20m + $5m)	$25m
Post-acquisition (EPS) $25m/210m	$0.1190

Solution to practice question (b).

	Post -acquisition
Post-acquisition (EPS) $25m/210m	$0.1190
Price earnings ratio	25
Share price = EPS * PE ratios	($0.1190*25) = $2.98
Market value = #of shares * share price	(210m*$2.98) = $625.8m

Solution to practice question (c).

	Post –acquisition (with synergy)
Total earnings ($20m + $5m + $3.35m)	$28.35m
Post-acquisition (EPS) $28.35m/210m	$0.135
Price earnings ratio	25
Share price = EPS * PE ratios	($0.135*25) = $3.375
Market value = #of shares * share price	(210m*$3.375) = $708.75m

Managerial reasons for acquisitions .

- **Takeovers can also arise due to the *agency problem* that exists between shareholders and managers.**
- ***From this perspective*, the motives behind some acquisitions may be to *increase managers' pay and power.***
- **Managers may also believe that the larger their organisation, the less likely it is to be taken over by another company and hence the *more secure their jobs will become*.**

Benefits/advantages of acquisitions .

1. **Reduced entry barrier into new markets.**
2. **Can increase market share quickly (market power)**
3. **Acquire new competences and resources.**
4. **Have access to experts (specialists in finance, legal etc.).**
5. **Have access to capital (easier to raise additional funds).**
6. **Have fresh ideas and perspective due to new teams of expert.**

Disadvantages of acquisitions .

1. **Possible clash of organisational cultures.**
2. **Possible duplication of employees duties.**
3. **Possible conflict of objectives.**
4. **Poorly matched businesses face more challenges than benefits.**
5. **Possible brand damage.**
6. **Pressure on suppliers to meet increased demands of a larger firm.**

Financing of acquisitions

1. ***Cash offers:*** **Target co.'s shares purchased using a Cash.**
2. ***Share for share:*** **Target co.'s shareholders are given a fixed number of shares in the bidding company in exchange for shares they hold in their own firm.**
3. ***Security packages*****: use of securities other than the ordinary shares of the bidder as a means of payment to target company shareholders.**
4. ***Mixed bids:*** **Share for share offer with a cash alternative.**

Strategic issues of acquisitions.

- *The strategic process of acquiring a target company can be summarised as follows.*

1. **Identify suitable target companies.**
2. **Obtain as much information about the target companies as possible.**
3. **Using the information obtained, value each target company and decide on the maximum purchase price that should be paid for each alternative.**
4. **Decide which of the potential target companies is most appropriate.**
5. **Decide on the best way to finance the acquisition, taking into account which methods of payment are acceptable to both sets of shareholders.**

Defences tactics in a hostile takeover.

- **Friendly takeover take place when the management of the two firms negotiate an agreement that is beneficial to both sides.**
- **However, not all takeovers are negotiated in this way and some are perceived as hostile and resisted by the directors.**
- **There are a number of defensive measures that can be taken where the management of the takeover target perceives the bid as hostile.**

Defences tactics (Golden parachute)

- **Large compensation payments made to the top management of the target firm if their positions are eliminated due to hostile takeover.**
- **This may include cash or bonus payments, stock options or a combination of these.**

Defences tactics (Poison pill).

- This is an attempt to make a company unattractive normally by giving the right to existing shareholders to buy shares at a very low price.
- This creates severe financial consequences in case one takes place.
- This makes a hostile takeover more expensive and less attractive

Defences tactics (White knights).

- **This would involve inviting a firm that would rescue the target from the unwanted bidder.**
- **The white knight would act as a friendly counter-bidder.**
- **Offering better acquisition terms, and maintains the core business operations.**

Defences tactics: *Crown Jewels*

- **The firm's most valuable assets may be the main reason that the firm became a takeover target in the first place.**
- **By selling these or entering into arrangements such as sale and leaseback, the firm is making itself less attractive as a target.**

Defence tactics (Litigation or regulatory defence)

- **The target company can challenge the acquisition by inviting an investigation by the regulatory authorities or through the courts.**
- **The target may be able to sue for a temporary order to stop the predator from buying any more of its shares.**